points. If a trade does not work within a reasonable amount of time, Platt will just liquidate rather than give it room to his original stop point. Platt also reevaluates each of his positions daily and asks himself whether he would still place the same trade today. If not, he will liquidate it.

Perhaps the most potent risk control Platt employs in BlueCrest's discretionary strategy is maintaining an extremely tight rein on what a trader can lose before capital is withdrawn. A mere 3 percent loss is enough to trigger a 50 percent reduction in a trader's allocation, and the same small additional percentage loss is all it takes to remove a trader's entire allocation. These rigid rules seek to prevent any trader from losing more than 5 percent of his initial stake. (The combination of two successive 3 percent losses is less than a 5 percent loss because the second 3 percent loss is incurred on only 50 percent of the starting stake.) In his own trading book, Platt is subject to the same rules as his traders, but he has never approached the 3 percent loss point.

You would think that with such extreme loss limitations, it would be very difficult for individual traders, and in turn the strategy, to make much money. It seems that with only 3 percent leeway before their capital allocation is slashed that traders would be risking too little on their trades to make much of a return. How then has the discretionary strategy managed to average nearly a 14 percent per year net return? The key is that the 3 percent/3 percent risk rule applies to a trader's starting stake. So certainly, the rule encourages traders to be very cautious at the onset, being highly selective in their trades and tightly limiting the loss on any trade. But as traders get ahead, their cushion widens, as trading gains augment the small initial 3 percent loss allowance. Once they are comfortably in the black, traders can take much more risk, thereby creating the potential to achieve large returns, despite the highly restrictive initial loss limitation. Essentially, the trader allocation risk control strategy assures capital preservation, while at the same time keeping upside potential open-ended by allowing greater risk-taking with profits. It is, effectively, an asymmetric risk management strategy.

Risk control is important for many obvious reasons, which include avoiding account-incapacitating losses, minimizing emotional pain, and constraining the adverse impact of compounding—large percentage losses